THE RATE GAP | MEDICARE ADVANTAGE | 2018-2023

CMS raised county payment rates 28.9% from 2018 to 2023. The share of revenue not spent on care barely moved.

Non-medical share of revenue (1 - MLR), Medicare Advantage contracts: 9.16% in 2018, 9.22% in 2023, with a spike to 12.29% in 2020. County by county, payment growth and that share are unrelated. Not evidence of wrongdoing; MLR is not a profit measure.

r = 0.02

Correlation across 709 counties between 2018-23 payment growth and the change in non-medical share.

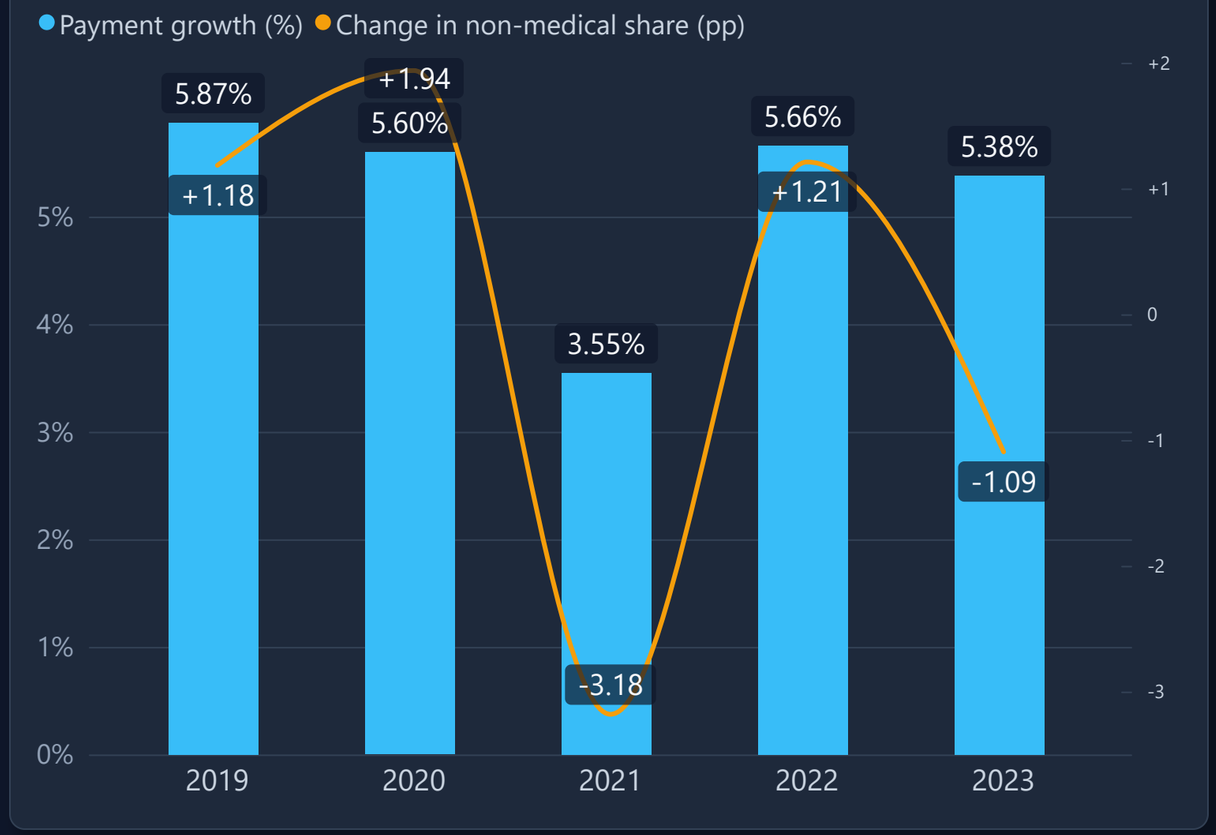
2.1% to 13.3%

County non-medical share, 2023: Montgomery, MD (lowest) to Carter, TN (highest). Counties with 5,000+ MA members.

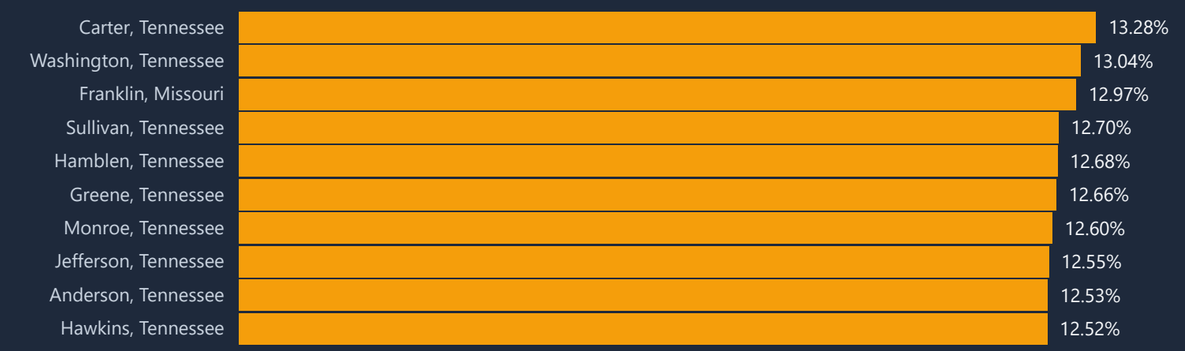
-3.18 pp in 2021

Largest one-year move in the national share, in the year payment growth was lowest (3.55%).

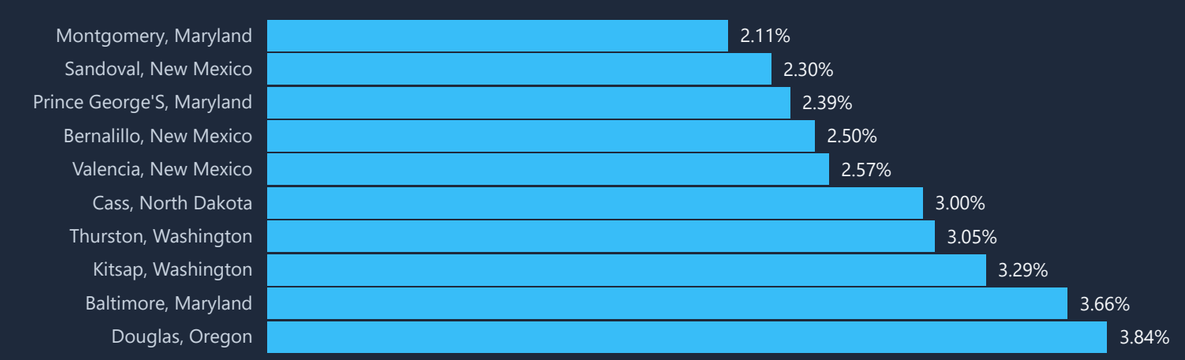
Each year: payment growth (columns, %) beside the change in non-medical share (line, pp)



Widest: 10 counties by non-medical share, 2023



Narrowest: 10 counties by non-medical share, 2023



Sources: CMS Medicare Advantage ratebooks 2018-2023 (county monthly rate, Parts A&B, 0% bonus column); CMS MLR data release files, contract years 2018-2023 (Adjusted MLR; CY2024 not yet published); CMS Monthly Enrollment by Contract/Plan/State/County, December 2018-2023. 28.9% = enrollment-weighted, compounded. Non-medical share = 1 - MLR, weighted by December enrollment. Medicare Advantage contracts only (stand-alone Part D contracts excluded). County and contract level only. A gap is not proof of wrongdoing.

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